

Justification and Approval (J&A) for Other Than Full and Open Competition

Was a J&A approved for the preceding acquisition where that acquisition required a J&A? ☐ Yes ☒ No

Is this a new or amended J&A Document? ☒ New ☐ Amended (Prior to Award Only!)

Is this a Bridge Action as defined at DAFFARS 5302.101? ☐ Yes ☒ No

Dollar Value of this Acquisition: ☐ ≤ \$750K ☐ > \$750K and ≤ \$15M ☒ > \$15M and ≤ \$100M ☐ > \$100M

Contracting Activity: Space Systems Command (SSC)
Product Support Enterprise Contracting (PKL)
1050 E. Stewart Avenue, Bldg 2025
Peterson Space Force Base, CO 80914

Purchase Request (if available) / Local ID Number: FA8820-24-R-0006/ 25-26

Program / Project (and PE, if applicable): Space Fence Sustainment

Program Type (PEO, Enterprise, of Operational): PEO

Authority:
6.302-1 – 10 USC 3204(a)(1), Only One Responsible Source - No Other Supplies or Services Will Satisfy Agency Requirements

Estimated Contract Cost (including options): [REDACTED] J&A Type: ☐ Class ☒ Individual

COORDINATION (DAFFARS 5306.304(a))

Date 07 Aug 2024	Project Lead / Program Mgr / Requiring Activity [REDACTED] [REDACTED]	Signature [REDACTED] J [REDACTED] Digitally signed by [REDACTED] J [REDACTED] Date: 2024.08.07 10:56:02 -06'00'
Date 07 Aug 2024	Contracting Officer Victoria N. Lloyd SSC/ AC-PKL, [REDACTED]	Signature LLOYD.VICTORIA.N [REDACTED] Digitally signed by LLOYD.VICTORIA.N [REDACTED] Date: 2024.08.07 11:04:28 -06'00'
Date 05 Sep 2024	Local Legal Reviewer [REDACTED] [REDACTED]	Signature [REDACTED] by [REDACTED] Date: 2024.09.05 05:53:40 -06'00'
Date 19 Nov 2024	Chief of the Contracting Office (COCO) [REDACTED] [REDACTED]	Signature [REDACTED] F [REDACTED] Digitally signed by [REDACTED] Date: 2024.11.19 20:20:09 -07'00'
Date 20 Nov 2024	Competition Advocate [REDACTED] [REDACTED]	Signature [REDACTED] [REDACTED] Digitally signed by [REDACTED] Date: 2024.11.20 11:55:20 -08'00'

APPROVAL (DAFFARS 5306.304(a))

Date 22 Nov 2024	Senior Contracting Official [REDACTED] [REDACTED]	Signature [REDACTED] Digitally signed by [REDACTED] Date: 2024.11.22 13:13:46 -08'00'
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I. Agency and Contracting Activity.

SSC/PKL Space Product Support

II. Nature and/or description of the action being approved.

This J&A document supports a sole source follow-on contract with [REDACTED] (hereinafter referred to as [REDACTED]) for the Space Fence program. This contract will be for the sustainment of the Space Fence weapon system. This effort includes CPIF CLINs for the sustainment portion of the contract in the amount of \$[REDACTED] and Cost Reimbursement CLINs for ODCs (material, licenses, travel) in the amount of \$[REDACTED]. The contract ceiling of this contract is [REDACTED]M. The estimated award date is January 2025.

III. Description of supplies/services required to meet agency needs.

Sustainment Services will include software and hardware obsolescence, depot support/repair, cyber security accreditation, logistics support, and engineering support of existing fielded weapon system. The total estimated value of \$[REDACTED]M, using 3410 funding to include 1 base year and 1 12-month option year, 1 6-month option and 2 3-month option CLINs are supported by internal and third-party cost estimates, historical actual expenditures, and known future sustainment efforts. Contract line items (CLIN) for this contract will include Sustainment under Cost Plus Incentive Fee, Travel, Licenses, and Materials under Cost Reimbursement, and a Data CLIN that will be Not Separately Priced. The Government plans for a minimum of Government purpose rights or unlimited rights (if only Government funded) for any documentation or parts designed and produced under this contract.

IV. Demonstration that the contractor's unique qualifications or the nature of the acquisition requires use of the authority cited above.

FAR 6.302-1(a)(2)(iii)(A): Substantial duplication of cost to the Government that is not expected to be recovered through competition, and FAR 6.302-1(a)(2)(iii)(B): Unacceptable delays in fulfilling the agency's requirements

Sub-Section 1 - Follow-On Contract from Original Source for highly specialized services

[REDACTED] was competitively awarded contract FA8709-14-C-0001 by the Air Force Life Cycle Management Center (AFLCMC) with a period of performance of 2 June 2014 - 30 April 2022 to develop, build, and field the Space Fence System, and perform Operations and Maintenance (O&M) and Sustainment Services during the time after Operational Acceptance (OA) for 2 years, referred to as Interim Contractor Support (ICS). In December 2021, Space Fence System Increment 1 was transferred from Air Force Life Cycle Management Center (AFLCMC) to Space and Missile Systems Center (SMC). Upon completion of the last ICS option period, systems operations and Level 1 organic maintenance responsibilities of the radar system transferred to Space Base Delta 2. While a 2010 Directed Depot Source of Repair (DSOR) decision required organic (service-owned) level 2 depot maintenance support for the Space Fence radar, budgetary reductions removed the funding required to establish the organic (service-owned) depot maintenance capability. As a result, in early 2022, Level 2 sustainment was transitioned to the MOSAIC contract (FA8823-20-C-0004) with [REDACTED] as the prime contractor and [REDACTED] as a subcontractor with a period of performance 1 March 2022 - 30 April 2022 for transition and full maintenance responsibility 1 May 2022 to present. [REDACTED] is currently the major sub-contractor for all Space Fence support. The current option period under the MOSAIC contract ends 31 JAN 2025. Due to [REDACTED] poor performance and inability to meet the terms of the contract discussed below, the Government has determined that [REDACTED], as the OEM, is the only company able to provide the highly specialized services to support and sustain the Space Fence Weapon System.

As discussed above, the Government intended for SZG and Tinker ALC to sustain Space Fence as a partnership after

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ICS, however no depot support at Tinker ALC was ever established. SZG moved Sustainment Services under the MOSSAIC contract with [REDACTED] as the prime contractor and [REDACTED] as the primary subcontractor since the MOSSAIC contract was designed to sustain SZG weapon systems. Although [REDACTED] was a subcontractor to [REDACTED], [REDACTED] performed most of the substantive sustainment activities for Space Fence. Under this arrangement, [REDACTED] performed Sustainment Engineering, SW development, SW deployment/installation and test, system configuration, depot maintenance, depot repair, System Integration Lab (SIL) administration, and cyber security patch development and deployment areas.

[REDACTED] has provided logistics, management oversight, and was the conduit for communications with the Government. One exceptional circumstance where [REDACTED] did not perform Sustainment Services was related to a failure mode within the system power supplies. However, [REDACTED] subcontracted this work to [REDACTED]. For this issue, [REDACTED] was intentionally excluded from the failure investigation, which took nearly a full year for [REDACTED] and [REDACTED] to approach any conclusions. Ultimately, however, [REDACTED] was included due to the need for testing changes to the power supplies on the ITB before fielding to the operational site.

While [REDACTED] has acted as the prime contractor for Space Fence sustainment, the Government has determined that [REDACTED] is the original source as [REDACTED] developed, built, and fielded the system, as well as provided Sustainment Services for two years during ICS, and performed the substantive sustainment activities for Space Fence under the MOSSAIC contract for an additional 2.5 years. [REDACTED] has never performed the entirety of the sustainment activities required without [REDACTED], nor is [REDACTED] capable of performing such activities (e.g., lack of access to an ITB/SIL, [REDACTED] corporate decision to not be ITAR compliant to provide 2-4 personnel full time on [REDACTED], where the Space Fence radar is located.)

[REDACTED] is the designer, manufacturer, and repair depot for many of the critical components of the system, such as Digital Transmit Assembly (DTA) (qty 4,576), Digital Receive Assembly (DRA) (qty 10,752), Row Processors, Calibration Trays, and Time Frequency Reference Group (TFRG) Trays. There are no other depot repair facilities in the commercial market for these components. The Government investigated standing up the Organic Depot Repair Facility through Tinker ALC in 2023 and the analysis resulted in a projected timeline of 7 years and \$[REDACTED] for development/production of hardware and \$[REDACTED] for software. At the end of the 7 years, some of the hardware and software would also need to be refreshed upon completion since the hardware would be 7 years old and obsolete.

[REDACTED] performed risk reduction and testing prior to fielding SW or HW updates to the weapon system. The risk reduction and testing included software and cyber-patches, design changes, configuration changes, and process adjustments to prove to the Del 2 commander and community that the change is "safe" to incorporate into the system. In order to conduct this work, [REDACTED] uses the depot repair facility and hardware/ software (HW/SW) System Integration Lab (SIL) and Integrated Test Bed (ITB) at their facility in Morristown, Pennsylvania. The SW SIL is Government owned, Contractor Operated, however the ITB is [REDACTED] Capital owned. The ITB was built with [REDACTED] corporate funding with no charge to any Government contracts during the execution of the development FFP contract, and the Government has no Government rights to the use of the facility. The ITB is essential for Sustainment Services to ensure proper risk reduction and testing prior to fielding SW or HW updates to the weapon system.

Therefore, this acquisition will be a follow-on contract for the continued provision of highly specialized services.

Sub-Section 2- Substantial Duplication of Costs Not Expected to be Recovered Through Competition

The Space Domain Awareness program office has determined that award to any other source would result in substantial duplication of cost to the Government that is not expected to be recovered through competition and unacceptable delays in fulfilling the Government's requirements.

- (a) The Government has experience with using [REDACTED] as a subcontractor under the MOSSAIC contract. This has

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resulted in a situation where the Government is paying the intermediary prime contractor [REDACTED] substantial duplications of cost to perform an unnecessary oversight role of [REDACTED] as subcontractor. The substantial duplications of cost concern increased overhead, unnecessary personnel, unnecessary training costs, and pass-through charges.

(i) Increased Overhead: The Government pays over \$ [REDACTED] a year ([REDACTED] fee+ ~ [REDACTED] % indirect costs) to [REDACTED] for managing [REDACTED] as a subcontractor on top of what is paid to [REDACTED] to perform the work.

(ii) Duplicated Positions/Training Costs: In a January 2024 MITRE analysis, if sustainment requirements remained the same, [REDACTED] labor categories were applied and redundant labor hours in program management, engineering, testing and life cycle support were reduced (approx. over 44,000 hours), the Government could save up to [REDACTED] that could be used to address unfunded requirements and implement pending root cause corrective action recommendations.

(iii) Based on 2.5 years of experience, the Government has determined that it is in its best interests to contract directly with [REDACTED] - the company that performs the substantive Space Fence Sustainment Services. In January 2024, MITRE completed an independent assessment confirming significant inefficiency of continuing the current Space Fence prime and OEM subcontractor relationship. This assessment included redundant and overstaffed tasks and the fee-on-fee current structure. The analysis concluded that an alternate acquisition strategy (from the current MOSSAIC contract) could cost less than the current arrangement under MOSSAIC and if the contract was with the OEM, the reduction in overlapping labor hours could be used towards additional mission requirements.

(b) The Government does not believe that it can enable a competition for Space Fence Sustainment Services without incurring over \$ [REDACTED] in duplicated costs that will not be recovered through competition.

(i) [REDACTED] is the only company with access to the ITB that is required to complete Sustainment Services. The Government has analyzed potential costs associated with re-constructing an ITB on Government property so that the ITB can be utilized by a competitor contractor to perform Sustainment Services. The Government estimates it will cost approximately \$ [REDACTED] to move the Integrated Test Bed (ITB) to a Government location. This assumes [REDACTED] would be willing to sell the ITB to the Government, because as stated above the ITB is currently owned and operated by [REDACTED]. During the EMD phase of the Space Fence development contract the Government asked [REDACTED] if they would be willing to sell the ITB and they refused. Of the \$ [REDACTED] estimate, \$ [REDACTED] would pay for the construction of a new facility to house the test bed, spare equipment, and personnel work areas, and relocation of equipment, while approximately \$ [REDACTED] would pay for the system procurement from [REDACTED]. This estimate is based on inflating the original \$ [REDACTED] cost of the system in 2014. The Government has determined it is very unlikely that the costs to recreate the ITB so that a competitor can access it to perform Sustainment Services will ever be recovered through competition. Even assuming a rather large savings of 15% of projected contract value from competition the Government would expect it to take approximately 24 years to recover the costs (~\$ [REDACTED] year sustainment costs x 15% = ~\$ [REDACTED]/year). Lastly, it would require MILCON funding and an approved Government location to recreate the ITB. There is currently no funding available to acquire/recreate the ITB and no basing decision in works.

(ii) However, the need to recreate an ITB is not the only substantial duplication of costs that would be necessary to enable a competition. A new contractor would also need significant transition costs with [REDACTED] where the Government pays both the new contractor and [REDACTED] during the transition period. Even an extremely motivated contractor would take a minimum of 12 months to become independently competent enough to perform the Sustainment Services - if they ever could given the complexity of the system. 12 months of duplicative payments to [REDACTED] while it trains a new contractor would equate to an additional minimum \$ [REDACTED] of duplicated costs.

(iii) [REDACTED] has developed a unique resource skill set required to perform Space Fence Sustainment Services. This specific combination of expertise along with the Contractor developed, highly specialized test bed and training

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suite are not a common commodity found in the marketplace based on the results of the market research conducted. As a result, [REDACTED] possesses unique and highly specialized capabilities and qualifications to perform the subject effort. Enabling a competition to meet the Government's Sustainment Services requirements would result in a substantial duplication of costs that are not expected to be recovered through competition.

(c) Unacceptable Delays in Fulfilling the Agency's Mission - As discussed above, if [REDACTED] is not involved in the sustainment of the Space Fence system, the Government anticipates delays caused by a new contractor developing sufficient expertise to be able to adequately perform the Government's Sustainment Services requirements, and caused by a lack of an ITB that would have to be recreated. Due to the criticality of the mission Space Fence supports, delays in system operational availability are unacceptable. Having [REDACTED] work as a subcontractor would result in the duplicated costs, and a separate competition for these Sustainment Services is not feasible given the ITB and transition costs that will not be recovered through competition. Thus, it is in the Government's best interests to contract directly with [REDACTED] as prime.

Sub-Section 3 - Accordingly, [REDACTED] is the only firm capable of providing supplies and services described in Section III above without the Government experiencing substantial duplication of costs that could not be expected to be recovered through competition and unacceptable delays in fulfilling its requirements.

V. Description of efforts made to ensure that offers are solicited from as many potential sources as practicable, including whether a notice was or will be publicized as required by subpart 5.2 and, if not, which exception under FAR 5.202 applies.

The program office and the contracting officer conducted market research to ascertain if competition was feasible. On 3 May 2024, the contracting officer issued a RFI for 30 days via SAM.gov. 2 large business and 2 small business responded to the synopsis. Responders included [REDACTED]. The team also conducted Internet searches and considered the current vendor supporting Space Fence Sustainment, [REDACTED]. Market research has been on-going during the life of the current sustainment contract but there are no new players in the industry and no new contractor capabilities within the space radar field. This acquisition will require a synopsis in accordance with FAR 5.201. A pre-solicitation notice for the contemplated contract will be posted to SAM.gov. This announcement will provide a Notice of Contract Action. The Request for Proposal will be issued no earlier than 15 days after publication of the notice.

VI. Determination by the Contracting Officer that the anticipated cost to the Government will be fair and reasonable.

The contracting officer believes the costs for this acquisition will be fair and reasonable. The Contractor will be required to submit certified cost or pricing data. The program office will perform a complete technical evaluation. The contracting officer will perform both price and cost analyses. In addition, the contracting officer will request support from the Defense Contract Management Agency (DCMA) as needed to obtain information on previous actuals, material costs, and rates (FPRR).

VII. Description of the market research conducted and the results, or a statement of the reasons market research was not conducted.

A RFI was released to industry, and the Government received 4 responses from the following:

[REDACTED]

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In addition to the Government program management team, a Government FFRDC team performed an independent review to analyze the 4 responses. Of those responses, only the response from [REDACTED] was able to meet the requirements for Sustainment Services. Based on the responses to the RFI, there is no reasonable expectation that there would be multiple qualified proposals to encompass the entire scope required to sustain the Space Fence Weapon System. Small businesses may be able to support some very discrete tasks as subcontractors, such as obsolescence analysis or creating engineering documents, but would not be able to assume the entire scope which would include integration or test activities at the integration lab/test bed.

[REDACTED] did not provide a RFI response but is the current prime contractor for the MOSSAIC contract which includes sustainment for 7 ground-based space weapon systems, including Space Fence. Space Fence was added to the contract in March 2022 and [REDACTED] has faced a significant learning curve for on-site activities and significant cost to stand up the requirements that [REDACTED] is currently performing as a subcontractor. [REDACTED] is unable to provide on-going staffing on [REDACTED] [REDACTED] where the Space Fence radar is located due to their corporate decision to not complete the required ITAR registration/compliance and they are dependent on [REDACTED] for the Morristown ITB. Outside of the current Space Fence sustainment contract, [REDACTED] has experience with engineering, sustainment and development of space-based missile warning and defense solutions.

The other vendors (outside of [REDACTED]) who provided responses to the RFI, were unable to provide justification for meeting more than 5 of the 9 contractor responsibilities listed as necessary to provide sustainment support for Space Fence.

Utilizing the OEM as a subcontractor has proven inefficient from both a cost and performance perspective. On the current contract, the Government experienced the prime leaning heavily on [REDACTED] even after 2 years of being on contract and large pass-thru costs related to fee and overheads. In addition, the Government has paid for duplicate roles for [REDACTED] to get spun up on the weapon system. [REDACTED] is involved in Sustainment Engineering, Software Development, Software Deployment/installation, System Configuration, Depot Maintenance, Depot Repair, and Cyber Security patch development and deployment areas. In addition, [REDACTED] spends time educating [REDACTED] and then acting as the primary contractor briefing/educating the Government on the technical status, progress, or adjustments to the various efforts. The Government believes this situation would occur if any other contractor served as the prime instead of [REDACTED].

Based on the findings above, market research supports a sole source award to [REDACTED]. There is no reasonable expectation of receiving two or more proposals that will meet all Sustainment requirements without a significant amount of the work being performed by [REDACTED] based on 1) a lack of industry capability and interest as evidenced by 4 responses to the sources sought and 2) the lack of facilities able to perform essential requirements.

VIII. Any other facts supporting the use of Other Than Full and Open Competition.

None.

IX. List of any sources that expressed, in writing, an interest in the acquisition.

See Section VII.

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X. A statement of the actions, if any, the agency may take to remove or overcome any barriers to competition before any subsequent acquisitions for the supplies or services required.

See Section VI above. To encourage competition long term, the Government could decide to pay to recreate the Integrated Test Bed at a Government facility. However, if this approach were pursued at this time, it would result in unacceptable delays or substantial duplication of costs not expected to be recovered through competition.

XI. Certification by the Contracting Officer.

As evidenced by my signature above, I certify that this justification is accurate and complete to the best of my knowledge and belief.

XII. Certification by the technical/requirements personnel.

As evidenced by my (our) signature(s) above, I (we) certify that any supporting data contained herein, which is my (our) responsibility, is both accurate and complete.